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China Auto Manufacturers

Weichai Upside Potential—Cross-Read from CAT/CMI/INIO/GEV & AIDC/AI Fund Flow

CITI'S TAKE

We expect Weichai Power's 2Q AIDC-related, large-born engines to reach 900 units in shipments (1H: 1,400 units), with 2026E >4k units, which should help lift the group's total 2Q GPM to 22% or above, and 2Q NP to >Rmb3.8bn (also partially due to some one-off items), ahead of consensus. We are confident in the outlook for Weichai due to (1) recent fund flow; (2) CAT/CMI 2Q performance; and (3) cross-read from GEV.US & INIO.US. Moreover, cross-read from Sinotruk on the 2H26 China HDT demand outlook ([1H Earnings Preview & 2H outlook](#)) seems to be relatively more positive than consensus for Weichai's traditional business outlook. We maintain Sinotruk, [Chery](#) and [Minth](#) as defensive long-term Buys, and recognize Weichai as likely a global lagger, which would likely benefit if fund flow returns to AI-related infrastructure names in 3Q26.

In terms of fund flow, we estimate our [AIDC/SOFC/AI weighted-index](#) rose 26% in the past 7 trading days mainly, due to Bloom Energy's (+40%) outperformance after 2Q earnings beat, as well as Generac's 8% hike. This coincided with Weichai Power's 7% share price rally over the same period, outperforming Sinotruk (+0%).

What's more, recent CAT/CMI 2Q earnings provide strong evidence on robust structural demand for high-end power generation globally on the ongoing boom in data centers and AI-driven backup infrastructure, e.g. Caterpillar's 2Q data center demand (power-generation sales) was up 72%, driven by large generator sets and turbines deployed in data centers, as well as an extended backlog to US\$72b, with some power customers placing orders extending up to 2030. We view that the above further support a steep AIDC and backup engine demand growth trajectory and likely rounds of potential earnings uplift to Weichai's 2H26 and 2027/28 profit and margins. Meanwhile, CMI's 2Q power system EBITDA margin was 24.5%, mainly due to AIDC-related, large-born engines' strong GPM contribution, followed by orders duration (already sold out) up to 2H28, after connection with global hyperscalers.

On the other hand, as at the end of 1H26, we note INIO.us order backlog (mainly Jenbacher engine) appears to be strong due to AIDC-related demand (US\$6.6bn, up 279% YoY, with 2Q orders alone at US\$2.3b). According to the company, FY26/27 production was sold out. Finally, GE Vernova's (GEV.US) 1H26 electrification divisional orders reached US\$5bn (higher than its FY25 total orders), mainly due to hyperscaler data center demand for transformers.

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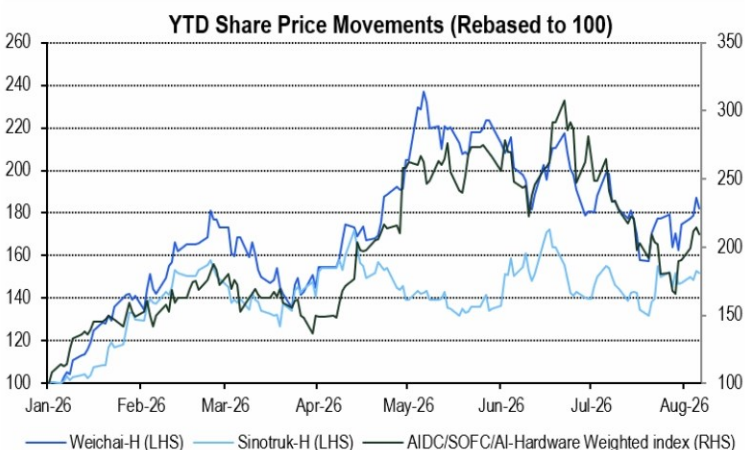
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On autos, we believe the first round of unwinding (for automakers) was approaching an end before the 2Q earnings season, while the market may need more evidence in fundamental numbers to support a trough of valuations: [BYD \(1211.HK\): Fundamentals and AI Fund Flows: Sector Likely Entering Stage-2 Unwinding \(Buy Hesai/Pony/WeRide/Horizon\)](#).

Figure 1. YTD Share Price Movements of Weichai/Sinotruk/Generac/BE

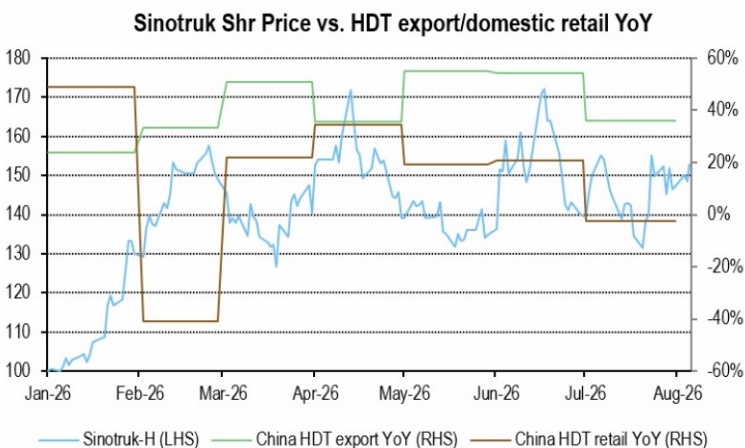


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Note: We developed an AIDC/SOFC/AI- Hardware weighted index, by assigning 50%/50% weight on daily share price of Generac/Bloom Energy.

Source: Citi Research Estimates, Bloomberg

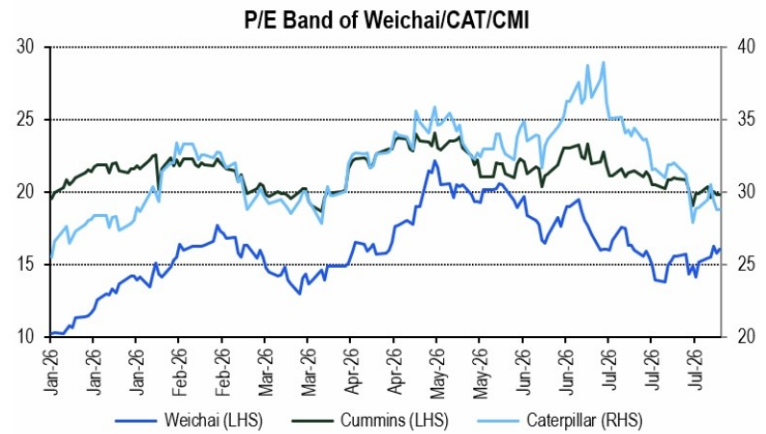
Figure 2. Sinotruk Share Price vs. China HDT Export/Domestic Retail YoY



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Source: Citi Research, CAAM, Thinkercar

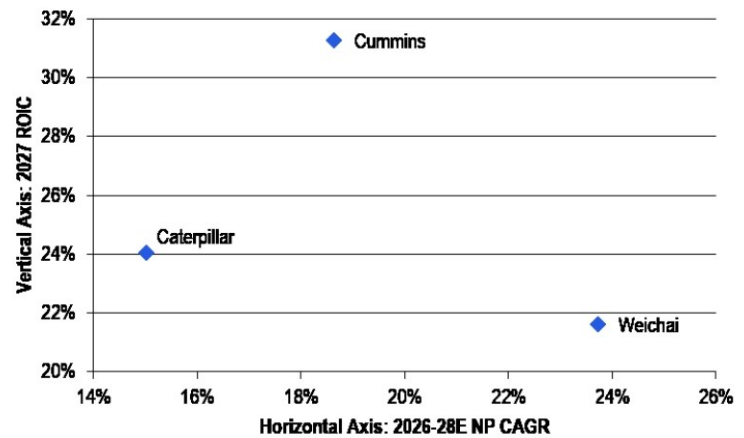
Figure 3. P/E Band of Weichai/CAT/CMI



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Source: Citi Research, Bloomberg

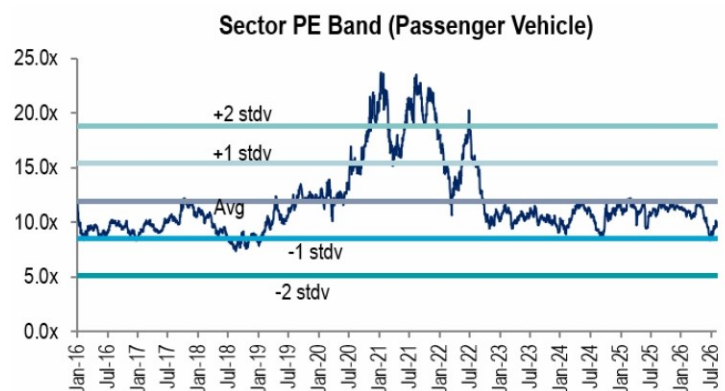
Figure 4. Scatter Chart: 2026-28E NP CAGR vs. 2027 ROIC



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Source: Citi Research, Visible Alpha

Figure 5. Passenger Vehicle: Sector PE Band



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Figure 6. China NEV Players: Forward P/S Band (Non-weighted average of BYD/NIO/LI/XPEV/Leapmotor)



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Source: Citi Research, Bloomberg

Companies Mentioned:

Chery (9973.HK; HK\$25.46; 1; 06 Aug 26; 16:10)

Hesai Group (HSAI.O; US\$17.75; 1; 06 Aug 26; 16:00)
 Hesai Group (2525.HK; HK\$17.15; 1; 06 Aug 26; 16:10)
 Horizon Robotics (9660.HK; HK\$5.15; 1H; 06 Aug 26; 16:10)
 Minth (0425.HK; HK\$28.84; 1; 06 Aug 26; 16:10)
 Pony AI (PONY.O; US\$7.78; 1H; 06 Aug 26; 16:00)
 Pony AI Inc (2026.HK; HK\$59.95; 1H; 06 Aug 26; 16:10)
 Sinotruk (Hong Kong) (3808.HK; HK\$41.9; 1; 06 Aug 26; 16:10)
 Weichai Power (2338.HK; HK\$34.34; 1; 06 Aug 26; 16:10)
 WeRide (WRD.O; US\$5.9; 1H; 06 Aug 26; 16:00)
 WeRide (0800.HK; HK\$15.4; 1H; 06 Aug 26; 16:10)

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